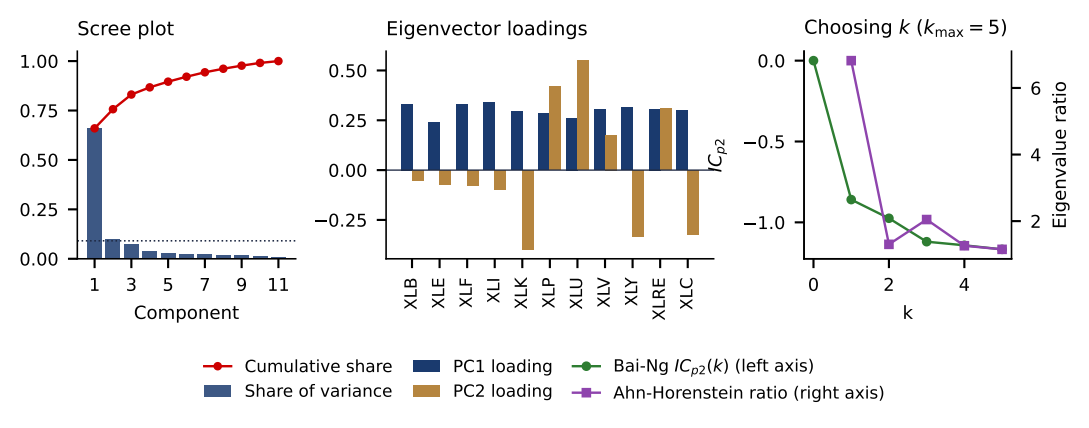
Scree plot
1.00
0.75
0.50
0.25
0.00
1
3
5
7
9
11
Component
Eigenvector loadings
0.50
0.25
0.00
−0.25
IC_{p2}
XLB
XLE
XLF
XLI
XLK
XLP
XLU
XLV
XLY
XLRE
XLC
Choosing k ($k_{\max} = 5$)
0.0
−0.5
−1.0
0
2
4
k
6
4
2
Eigenvalue ratio
Cumulative share
Share of variance
PC1 loading
PC2 loading
Bai-Ng $IC_{p2}(k)$ (left axis)
Ahn-Horenstein ratio (right axis)